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Appellate Court Records

IN THE SUPREME COURT OF THE STATE OF OREGON

JOHN STUART,

Plaintiff-Respondent and Cross-Appellant, Petitioner on Review

v.

RONALD PITTMAN, an individual,

Defendant

and

COUNTRY MUTUAL INSURANCE COMPANY, dba Country Insurance and Financial Services, Inc., an Indiana Corporation,

Defendant-Appellant and Cross-Respondent, Respondent on Review

Yamhill County Circuit Court No. CV050384

CA A134858

Supreme Court No. S058536

AMENDED PETITION FOR REVIEW OF PLAINTIFF JOHN STUART

Court of Appeals Decision, May 5, 2010

Opinion by Ortega, J.
Joined by Schuman, P.J., and Sercombe, J.

PETITIONER ON REVIEW INTENDS TO FILE A BRIEF ON THE MERITS

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June 2010

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June 2010

TABLE OF CONTENTS

Page

I. INTRODUCTION 1

II. HISTORICAL AND PROCEDURAL FACTS 3

III. QUESTIONS PRESENTED AND PROPOSED RULES OF LAW 3

IV. IMPORTANCE OF ISSUES TO BE REVIEWED 4

V. ARGUMENT 6

A. ORS 742.043(1) requires only that a plaintiff prove the clear and express terms of the binder. 6

B. Alternatively, the oral agreement included an implied duty to timely deliver the written policy and there was evidence that plaintiff was damaged by defendant's breach of that duty. 11

C. An oral contract, like other contracts, need only be proved by a preponderance of the evidence. 13

D. ORS 742.061(1) applies to oral binders. 14

VI. CONCLUSION 15

TABLE OF AUTHORITIES

CASES **PAGE**

Bernard v. Vatheuer,
303 Or 410, 737 P2d 128 (1987).....14

Dodd v. Home Mut. Ins. Co.,
22 Or 3, 28 P 881.....13

Riley Hill Gen. Contractor v. Tandy Corp.,
303 Or 390, 737 P2d 595 (1987).....14

Stuart v. Pittman and Country Mut. Ins. Co.,
235 Or App 196, ___ P3d ___ (2010).....1-2, 6, 8, 10, 12-13

Zockert v. Fanning,
310 Or 514, 800 P2d 773 (1990).....14

STATUTES

ORS 174.010.....10

ORS 742.043.....9

ORS 742.043(1).....1-3, 5-8, 10

ORS 742.043(2).....5, 10

ORS 742.061.....14

ORS 742.061(1).....3-4, 6, 14-15

I. INTRODUCTION

Plaintiff John Stuart petitions for review of the decision of the Court of Appeals in *Stuart v. Pittman and Country Mut. Ins. Co.*, 235 Or App 196, ___ P3d ___ (2010) (attached). Plaintiff sued for breach of an oral agreement to provide insurance, alleging two alternative theories. The jury found in favor of plaintiff on both theories and returned a verdict in the amount of $268,417. The Court of Appeals reversed the resulting judgment because it concluded there was no evidence in the record to support the verdict.

The Court of Appeals misconstrued the applicable statute, ORS 742.043(1), as requiring evidence that it does not require. The statute provides:

> "Binders or other contracts for temporary insurance may be made orally or in writing, and shall be deemed to include all the usual terms of the policy as to which the binder was given together with such applicable endorsements as are designated in the binder, *except as superseded by the clear and express terms of the binder*."

Id. (emphasis added).

The phrase "clear and express" modifies "terms of the binder." The jury found evidence of the binder's clear and express terms. Because those terms were inconsistent with exclusions in the written policy, they necessarily superseded the exclusions by implication. But the Court of Appeals erroneously treated "clear and express" as modifying "superseded." It read the statute as requiring evidence that defendant "clearly and expressly waived or

superseded the usual terms or exclusions of course of construction [insurance] coverage." *Stuart*, 235 Or App at 204. It said, "it is plaintiff's burden to show that those usual exclusions have been explicitly superseded." *Id.* at 205. ORS 742.043(1) contains no such requirement. Based on that error, the Court of Appeals reversed the verdict for lack of evidence – evidence which the law does not require in order to prove the claim. Viewed in light of the statute as correctly understood, plaintiff's evidence was sufficient to support the verdict. The Court of Appeals erred in concluding otherwise.

The Court of Appeals also erred with respect to plaintiff's alternative theory. Plaintiff alleged that defendant's oral agreement to provide insurance included an implied duty to deliver the written policy within a reasonable time. The insurer failed to issue the policy until long after the loss had occurred. Plaintiff offered evidence that, if defendant had delivered the policy within a reasonable time, plaintiff could have obtained coverage from other sources. The Court of Appeals erred in concluding that there was no evidence to support plaintiff's alternative theory.

Because the Court of Appeals reversed the verdict based on its conclusion that the verdict was not supported by any evidence, it did not reach defendant's first four assignments of error. They relate to the standard of proof described in the jury instructions. Defendant asserted that the trial court erred

in instructing the jury that plaintiff was required to prove the terms of the oral binder by a preponderance of the evidence rather than by clear and convincing evidence. In the interest of efficiency, plaintiff requests that if the court accepts review, it address those assignments of error and hold that plaintiff was required to establish the clear and express terms of the oral binder by a preponderance of the evidence and not by clear and convincing evidence.

The Court of Appeals also did not reach defendant's eighth assignment of error. Defendant argued that the trial court erred in awarding plaintiff attorney fees and costs pursuant to ORS 742.061(1) because "any policy of insurance of any kind or nature" does not include an oral insurance binder. Again, plaintiff requests that this court exercise its discretion to dispose of that assignment of error by holding that ORS 742.061(1) applies to an oral insurance binder.

II. HISTORICAL AND PROCEDURAL FACTS

The Court of Appeals correctly stated the historical and procedural facts.

III. QUESTIONS PRESENTED AND PROPOSED RULES OF LAW

A. Does ORS 742.043(1) require proof that the usual terms of the policy were explicitly superseded by clear and express terms of the binder, or is it sufficient that the clear and express terms of a binder implicitly superseded the usual policy terms?

Proposed rule: Evidence that clear and express terms of a binder necessarily superseded the usual policy terms by implication is sufficient.

B. Did the trial court err in submitting to the jury plaintiff's alternative theory, *i.e*, that the oral agreement to provide coverage included an implied duty to supply the written policy within a reasonable time and breach of that duty kept plaintiff from getting coverage from an alternative source?

Proposed rule: An oral agreement to provide insurance includes an implied duty to provide a written policy in a reasonable time and there was evidence in this case that plaintiff was damaged because he could have obtained alternative coverage but for defendant's breach of that implied duty.

C. Must a claim for breach of an oral contract for insurance be proved by a preponderance of the evidence, or by clear and convincing evidence?

Proposed rule: A claim for breach of an oral contract for insurance coverage must be proved by a preponderance of the evidence.

D. Does ORS 742.061(1) apply to oral binders of insurance?

Proposed rule: The phrase "any policy of insurance of any kind of nature" in ORS 742.061(1) encompasses oral binders of insurance.

IV. IMPORTANCE OF ISSUES TO BE REVIEWED

The Court of Appeals ruled that the jury's finding of liability and its compensatory damages award of more than $268,000 should be set aside. It

based this conclusion on an erroneous interpretation of ORS 742.043(1), which governs the enforceability of binders or other contracts for temporary insurance. Such contracts are commonplace. Parties to such contracts need to know what they must do to achieve an enforceable agreement on the terms they intend. After the decision in this case, persons who request and pay for insurance pursuant to the clear and express terms of a binder, may not enforce those terms unless they also explicitly specify that the usual exclusions are superseded.

The decision interjects a requirement not found in the text of the statute and it makes little practical sense, since the detailed terms of the insurer's usual policy (including exclusions) typically are not even known to the insured at the time of the issuance of the oral binder. *See* ORS 742.043(2) (insurers have 90 days from the date of oral binder to issue policy). The decision creates a standard for including specific, non-standard terms in oral binders that few insureds will be able to meet, effectively negating the standard that the legislature specified in the statute.

Plaintiff's alternative theory is also worthy of review. Plaintiff alleged and proved an oral agreement to provide insurance. The purpose of such an agreement is defeated if the insurer fails to provide the written policy within a reasonable time. That duty is, therefore, an implied term of the oral agreement. One damaged as a result of breach of an implied duty is entitled to contractual

damages. Plaintiff offered evidence that coverage for the loss was available from other sources before the loss occurred; the jury could properly infer that plaintiff would have obtained such coverage and thereby avoided the damages he suffered, if defendant had delivered the written policy within a reasonable time so that plaintiff was aware of the specific exclusions. Plaintiff submits that, if this court agrees with plaintiff that his evidence of damage was sufficient, it should decide that the trial court did not err in submitting plaintiff's alternative theory to the jury.

If this court accepts review to address either or both of plaintiff's alternative theories of liability, plaintiff respectfully requests that it clarify two further matters: the quantum of proof is the same for a claim of breach of an oral contract for insurance as for most other contract matters, *viz.*, a preponderance of the evidence; and, ORS 742.061(1) applies to oral binders of insurance.

V. ARGUMENT

A. ORS 742.043(1) requires only that a plaintiff prove the clear and express terms of the binder.

Plaintiff offered evidence of clear and express terms of an agreement, or binder, to cover "all instances that something goes wrong during construction." *Stuart*, 235 Or App at 204. That coverage is inconsistent with the exclusions from coverage contained in the written policy defendant eventually provided to

plaintiff after the loss occurred. Those exclusions were, therefore, implicitly superseded by the clear and express terms of the binder. That is all the ORS 742.043(1) requires. The Court of Appeals, however, construed the statute to impose on plaintiff a further burden of showing that the usual exclusions "have been explicitly superseded." *Id.* The Court of Appeals erred. When the statute is correctly understood to require that the terms of the binder be clear and express, and not to impose a further requirement that they *explicitly* superseded the usual exclusions, the jury's verdict was supported by the evidence.

Plaintiff bought a small family farm and improvements in Yamhill County. In March, 2003, he met with Defendant Ronald Pittman, an agent for Respondent-Defendant Country Mutual Insurance Company. Plaintiff told Pittman that he wanted "course of construction" coverage for a new house he planned to build. "Course of construction" insurance is a type of property and liability insurance that people buy to cover a building during construction. Plaintiff told Pittman that he wanted coverage that would provide a "safety net" or catch basin" of coverage, "in all instances that something goes wrong during construction." Plaintiff testified that, although he did not recall specifically asking for protection for the builder's failure to perform, he believed Pittman understood that he was seeking such coverage and agreed that defendant would provide it. *Id.* at 198-201.

Pittman orally bound coverage in August 2003, effective September 1, 2003. Plaintiff testified that Pittman did not advise him of any exclusion from coverage. Plaintiff began construction. *Id.* at 199-200.

In January, 2004, the area suffered a severe storm. The contractor had framed the house but not enclosed it, leaving it open to the elements. Snow and ice built up inside the house, causing the interior sheathing to split, water to accumulate in the crawl space, and a large amount of mold. *Id.* at 199.

Within ten days, Stuart informed Pittman of the damage and, because he had not yet received a written policy, Stuart asked Pittman to review his coverage with him. Tr. 167, 172-73. Pittman told Stuart that damage caused by wind, rain, flood and water *would be covered*. Tr. 172. Pittman said he thought mold might be covered, as well. Tr. 173-75. Months later, Pittman learned that defendant had never issued a permanent insurance policy on the building under construction. Tr. 217-19.

Based on the evidence, the jury returned a special verdict finding that Pittman had entered into an oral contract of insurance different than the policy later issued, and finding specifically that the oral contract of insurance eliminated the exclusions for damage from water, faulty workmanship or construction and mold, and that it eliminated the requirement of direct physical loss. *Stuart*, 235 Or App at 201; ER-24.

The Court of Appeals reversed, finding no evidence to support the verdict. The court's analysis was distorted by legal error, namely, its misinterpretation of ORS 742.043 as requiring not only that the terms of the binder be clear and express, but also that those terms have explicitly superseded the terms of the usual policy. The error is evident in the court's opinion. For example, the court explained:

> "Assuming, as we must, that in their conversations about different types of insurance, Pittman agreed to provide plaintiff with a 'safety net' of coverage 'in all instances that something goes wrong' and that he even agreed that defendant could provide some type of coverage in the event of 'faulty work,' that evidence is simply too vague and obscure to satisfy the requirement of ORS 742.043(1) for the terms that are 'clear and express' – *i.e., that definitely, explicitly, and unambiguously superseded the terms of the course of construction coverage.* * * * In short, the testimony is ambiguous and *does not provide evidence of terms that clearly and expressly modified or waived the terms of the 'usual' course of construction policy or its exclusions from property coverage for faulty work, water damage, and mold*.
>
> "Plaintiff contends that, because Pittman never explained the policy's exclusions to him, he had no reason to believe that any risks were excluded and that the jury accordingly could infer that all risks were bound. The difficulty with plaintiff's reasoning is that ORS 742.043(1) imposes a presumption that the usual terms of a course of construction policy apply, including the usual exclusions; *it is plaintiff's burden to show that those usual exclusions have been explicitly superseded*. The statute requires more than evidence from which an inference can be drawn; it requires evidence of terms that are 'clear and express.' *Any inference that arguably could be drawn from Pittman's failure to describe the exclusions from coverage does not satisfy the statute's requirement for terms that clearly and expressly supersede them.* See Webster's at 803 (defining "express" as

> "directly and distinctly stated or expressed rather than implied or left to inference"). Thus, we conclude that the trial court erred in submitting to the jury the allegation that Pittman orally bound coverage different from the policy that defendant issued."

Stuart, 235 Or App at 204-05 (emphasis added).

In other words, the Court of Appeals construed the statute as if it said that binders shall be deemed to include the usual terms "except as *clearly and expressly, or explicitly,* superseded by the clear and express terms of the binder." But that is not what the statute says. Nothing in the text of the statute precludes a plaintiff from showing that the clear and express terms of the binder *necessarily* or *implicitly* superseded the usual terms of the policy.

The Court of Appeals' construction violates the rule that, in construing a statute, "the office of the judge is simply to ascertain and declare what is * * * contained therein, *not to insert what has been omitted* * * * ." ORS 174.010. Its construction also makes no sense in light of the context of ORS 742.043(1). The subsection immediately following it, ORS 742.043(2), gives insurers 90 days from issuance of a binder to issue a policy. An insured who does not have a copy of the policy would be hard pressed even to negotiate, much less reach an agreement, explicitly superseding the written policy's terms and exclusions. The Court of Appeals therefore misconstrued the statute and, in so doing, required plaintiff to offer evidence that the law does not require.

B. Alternatively, the oral agreement included an implied duty to timely deliver the written policy and there was evidence that plaintiff was damaged by defendant's breach of that duty.

Defendant's sixth assignment of error challenged plaintiff's alternative theory, *viz*., that defendant's failure to timely deliver a copy of the written policy constituted a breach of the implied covenant of good faith and fair dealing and that plaintiff suffered damage as a result. Defendant argued that: (1) timely delivery of the written policy was not a term of the contract and therefore cannot be a basis for a claim for breach of contract; and, (2) plaintiff failed to offer any evidence that he was damaged because of the failure timely to deliver the policy.

The Court of Appeals did not reach defendant's first argument because it agreed with defendant's second argument; the court found no evidence to support the jury's finding that the failure to deliver the policy within a reasonable time caused damage to plaintiff. That was error. If this court agrees with plaintiff that his evidence of damage was sufficient to support the verdict, plaintiff submits that the court should proceed to dispose of defendant's first argument as well.

As for defendant's second argument (and the second basis for the Court of Appeals' reversal of the verdict), there was ample evidence from which the jury could have found that he could have obtained coverage for the loss from

alternative sources if defendant had provided the written policy within a reasonable time. Indeed, the Court of Appeals' opinion itself recites the facts that plaintiff's expert testified that he was aware that, just a few months before the loss occurred, another insurer was offering a product that covered loss due to mold. *Stuart*, 235 Or App at 206. Defendant's expert testified that, as for loss caused by faulty construction, an owner is ordinarily entitled to request a bigger performance bond than Oregon law requires. *Id.* at 206-07. The Court of Appeals erred in concluding that there was no evidence to support the jury's finding that plaintiff was damaged by defendant's failure to deliver the written policy within a reasonable time.

As for defendant's first argument, which the Court of Appeals did not reach, this court should hold that timely delivery of a written policy was an implied term of the oral agreement to provide insurance and so the trial court did not err in submitting plaintiff's alternative theory to the jury. If an oral agreement to provide insurance includes clear and express terms superseding the usual terms of the policy, it is enforceable regardless of whether the usual terms exclude the loss. But in the case of an oral agreement to provide insurance which does not include sufficiently clear and express terms superseding the usual terms of the written policy, it is obviously very important that the written policy be provided within a reasonable time. The purpose of an

agreement to provide insurance coverage is defeated if it is not performed within a reasonable time. Therefore, such a term is implied and a party who proves he suffered damage because of a breach of that term is entitled to allege his claim for breach of contract.

C. An oral contract, like other contracts, need only be proved by a preponderance of the evidence.

The Court of Appeals did not reach defendant's first four assignments of error which it correctly summarized as asserting that "the trial court erred in instructing the jury that plaintiff was required to establish the terms of the oral binder by a preponderance of the evidence rather than by clear and convincing evidence." *Stuart*, 235 Or App at 201-02. Petitioner respectfully submits that, if this court exercises its discretion to review the Court of Appeals' decision, it should also address the standard of proof.

Defendant confuses the substantive rule that the existence of a contract must be "conclusively established" with the quantum of proof. Defendant argues that the existence of a contract must be conclusively established *by clear and convincing evidence*. Defendant is wrong. Under Oregon law, a plaintiff must prove an oral contract, including an oral agreement for insurance, by a preponderance of the evidence. *See, e.g.*, *Dodd v. Home Mut. Ins. Co.*, 22 Or 3, 7, 28 P 881, *reh'g den*, 29 P 3 (1892) (analyzing whether there was an oral

contract for insurance based on "whether or not the plaintiff has sustained his allegations * * * by a preponderance of the evidence").

Oregon law applies a clear and convincing standard of proof in limited situations in fraud or quasi-criminal matters which involve a "stigma of guilt" or wrongdoing "akin to guilt," or where evidence is required to prove a particular kind of fact is of questionable reliability or trustworthiness. *Riley Hill Gen. Contractor v. Tandy Corp.*, 303 Or 390, 407, 737 P2d 595 (1987); *Zockert v. Fanning*, 310 Or 514, 527-28, 800 P2d 773 (1990). The latter category includes, for example, an oral contract to make reciprocal wills, where the dispute "typically take[s] place a long time after the alleged formation of the contract and after the death of the promisor." *Bernard v. Vatheuer*, 303 Or 410, 414, 737 P2d 128 (1987). An oral insurance binder falls into neither category.

The risk to insurers of unintended coverage under oral binders is readily avoidable by promptly issuing a written policy or by declining coverage. When a plaintiff proves by a preponderance of evidence that an insurer has given oral assurances of coverage on clear and express terms, the insurer should expect to be bound by those terms.

D. ORS 742.061(1) applies to oral binders.

The trial court awarded plaintiff attorney fees and costs pursuant to ORS 742.061. That statute provides:

> "Except as otherwise provided in subsections (2) and (3) of this section, if settlement is not made within six months from the date proof of loss is filed with the insurer and an action is brought in any court of this state *upon any policy of insurance of any kind or nature*, and the plaintiff's recovery exceeds the amount of any tender made by the defendant in such action, a reasonable amount to be fixed by the court as attorney fees shall be taxed as part of the costs of the action and any appeal thereon."

ORS 742.061(1) (emphasis added). The statutory text confirms that the legislature intended to provide for attorney fees and costs to people who are forced to litigate in order to enforce insurance "of any kind or nature," including oral binders of insurance.

VI. CONCLUSION

This court should grant the petition for review and reverse the decision of the Court of Appeals. The court should exercise its discretion to consider not only plaintiff's breach of contract claims, but also the requisite quantum of proof and the applicability of ORS 742.061(1) to oral binders of insurance.

Respectfully submitted this 9th day of June, 2010.

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CERTIFICATE OF FILING AND SERVICE

I certify that on June 9, 2010, I filed the foregoing **AMENDED PETITION FOR REVIEW OF PLAINTIFF JOHN STUART** with the Appellate Court Administrator by using the eFiling system.

Participants in this case who are registered eFilers will be served via the electronic mail function of the eFiling system.

I further certify that on said date I served two true and correct copies of said document on the party or parties listed below, via first class mail, postage prepaid, and addressed as follows:

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